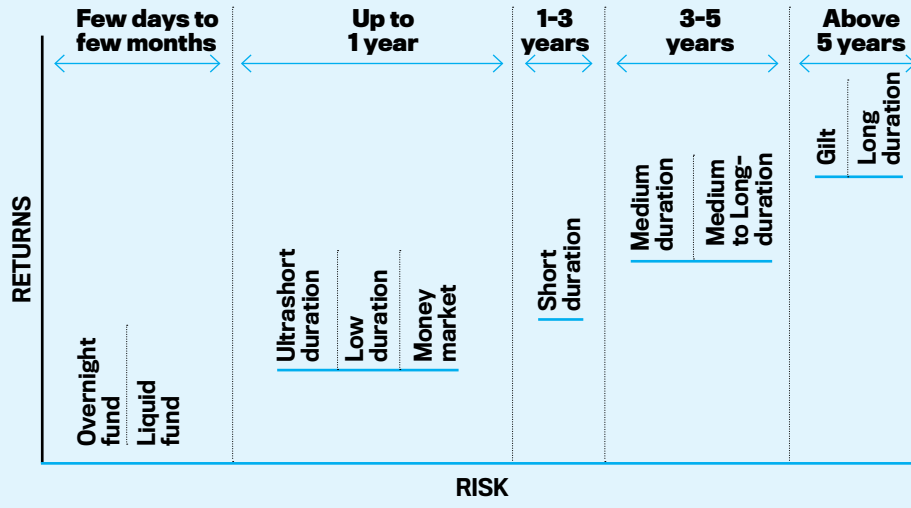
A SUITABLE FUND

Pick a debt fund based on how long you wish to invest for.
But as time-frame increases, so does the risk



THE DEBT FUND UNIVERSE

FUND CATEGORY	CHARACTERISTICS
Overnight Fund	Investment in overnight securities having maturity of 1 day
Liquid Fund	Investment in debt and money market securities with maturity of up to 91 days
Ultra Short Duration Fund	Investment in debt & money market instruments with Macaulay duration (which is weighted average of the time to receive the cash flows from a bond) of the portfolio between 3 and 6 months
Low Duration Fund	Investment in debt & money market instruments with Macaulay duration of the portfolio between 6 and 12 months
Money Market Fund	Investment in money market instruments having maturity up to 1 year
Short Duration Fund	Investment in money market instruments having maturity of 1-3 years
Medium Duration Fund	Investment in money market instruments having maturity of 3-4 years
Medium to Long Duration Fund	Investment in money market instruments having maturity of 4-7 years
Long Duration Fund	Investment in money market instruments having maturity above 7 years
Dynamic Bond	Investment across duration
Corporate Bond Fund	Minimum investment in corporate bonds–80% of total assets (highest rated instruments)
Credit Risk Fund	65% minimum investment in corporate bonds (investment in low-rated debt instruments)
Banking & PSU Fund	80% minimum investment in debt instruments of banks, PSUs, public financial institutions
Gilt Fund	80% minimum investment in G-secs (across maturity)
Gilt Fund with 10-year constant duration	80% minimum investment in G-secs and Macaulay duration of the portfolio equal to 10 years
Floater Fund	65% minimum investment in floating rate instruments

Source: SEBI categorisation & rationalisation

in (see *Debt Fund Universe*). With the standardisation, comparing and choosing a fund has become easy for investors. There are funds in which one could invest for as less a day to a week to those that cover over five years.

HOW TO INVEST IN DEBT FUNDS

Debt funds primarily follow two different strategies to earn returns—accrual-based and duration-based—and both involve different roles and risks. For instance, in case of accrual strategy, the focus is to generate returns from interest income by managing credit risk, while minimising interest rate risk.

In this approach, securities held by the fund are held till maturity, which is followed by shorter maturity funds. Duration-based strategy focuses on capital appreciation by way of rise in price of the underlying bond due to fall in interest rate. The focus is not interest income but the way the bond price will move owing to interest rate changes. In such funds, investments are generally in long-term debt instruments where the interest rate risk is managed. Such a strategy is mostly followed by longer duration funds as well as gilt funds.

When investing, it is important to define one's investment time-frame (see *A Suitable Fund*). For instance, if your need is to park money for a few weeks or months, an overnight fund or liquid fund is suitable compared to, say, a gilt fund. Finally, fund selection should be based on its pedigree, past track record, the corpus it manages, and the fund manager's experience. ■

–Narayan Krishnamurthy